

bearish patterns, avoid trading those in an uptrend.

Sometimes you will see a descending scallop form at the top of a long, upward price trend. It acts as a reversal when price breaks out downward. It may be worth trading; the Sample Trade explores one such trade.

Ends. The start and end of the pattern (point A and B in [Figure 59.1](#)) should be far apart in price. The usual retrace, C to B, of the A-to-C distance is 56%. In other words, price climbs 56% of the way to A from the bowl low. Since this number is an average (the median is the same), allow variations, but the key is to avoid scallops that look like bowls—two ends at nearly the same price.

Volume. I never exclude a scallop because of the volume trend, but it recedes from the left of the pattern to the right almost two-thirds of the time.

Breakout direction. A quick glance at [Table 59.2](#) will tell you that scallops like to break out downward most often.

[Figure 59.2](#) shows four descending scallops. You can see that the overall price trend is downward. It starts on the left at about 20 and saucers down to about 15. The descending scallops appear like reverse J patterns. The minor high on the right is below the minor high on the left, and between the two peaks is a rounded recession. You can see that the last scallop has minor highs that are nearly equal. This feature often suggests the declining price trend is nearing an end. In this case, price reaches the ultimate low in less than 2 months at 13.63, quite close to the last bowl low of 14.75.

The volume trend is irregular. I have noticed a tendency for a volume spike to appear near the center of the scallop as price switches from moving down to up. You can see the spikes in late March and mid-June.